


CAPITAL CITY: NAIROBI



CFC COUNTRY FACTSHEET: Kenya

Kenya is East Africa’s largest and most diversified economy. Prior to the COVID-19 pandemic, Kenya was among the continent’s fastest-growing economies, underpinned by a broad base spanning agriculture, manufacturing, financial services, and a thriving technology sector that has earned Nairobi the reputation of “Silicon Savannah.”

The country has made meaningful progress toward middle-income status, though persistent structural challenges — including high youth unemployment, economic inequality, and corruption — continue to weigh on inclusive growth. In recent years, the Government of Kenya has pursued an active reform agenda to improve the business environment and attract foreign investment, supported by world-class renewable energy infrastructure and one of Africa’s most advanced digital financial ecosystems.

For investors, Kenya offers a compelling combination of regional influence, a young entrepreneurial population, and significant untapped opportunity across agribusiness, healthcare, clean energy, and digital services.

Key Facts




POPULATION
 58 million (2026)

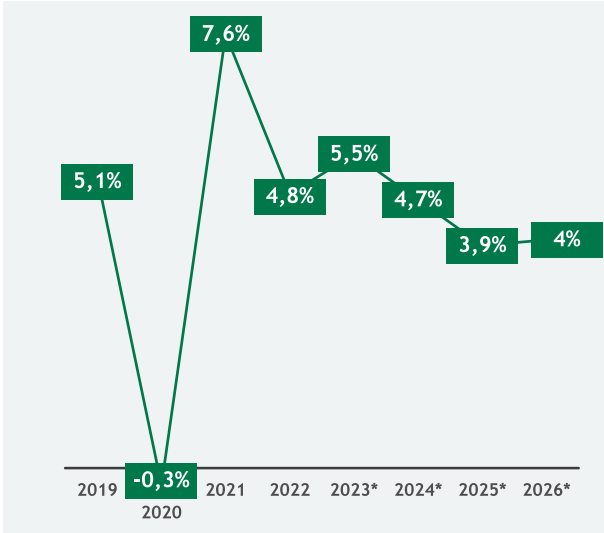

CURRENT GDP
 US\$ 136 billion (2025)


LEADER
 William Ruto


PRIMARY EXPORT
 Tea & Coffee/Spices
 US\$ 1.7 billion (2024)

 INTERESTS & CURRENCY	Monetary policy	Currency
	Rate : 8,75%	Kenyan shilling (KSh/KES)
 EXCHANGE RATES	USD 1 = KES 129.3	EUR 1 = KES 151.1
	Source : Central Bank of Kenya	

GDP GROWTH



4.4%	Inflation (Jan 2026)	US\$ 1.5 billion	FDI (Net Inflows) (2023)
5.4%	Unemployment rate (2024)	61 years	Life expectancy (2023)
1.9%	Demographic growth (2026)	US\$ 2549	GDP per capita (2025)
-1.3%	Current account (2024)	83%	Literacy Rate (2022)

What are the most attractive industries ?

Here are some of the attractive industries in Kenya:

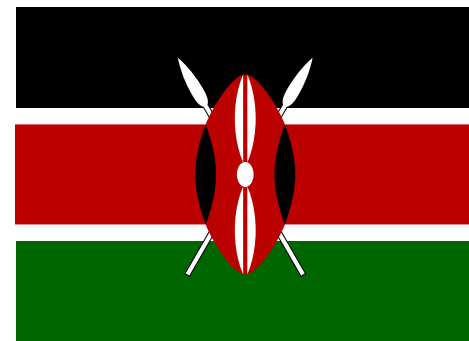
Agriculture: Kenya has a thriving agricultural sector with opportunities in crop farming, livestock, and agribusiness. Tea, coffee and horticulture remain top foreign-exchange earners.

Tourism: Kenya's rich biodiversity – national parks, game reserves and Indian Ocean coastline – attracted over 2 million visitors in 2024, generating US\$1.8+ billion.

Technology: Nairobi's 'Silicon Savannah' is Africa's leading tech hub. M-Pesa and Kenya's fintech ecosystem are globally recognised.

Financial services: A dynamic sector spanning banking, insurance, microfinance, fintech and mobile money. Nairobi is a key African financial centre.

Green Energy: Kenya generates roughly 90% of electricity from renewables (geothermal, hydro, wind), attracting major climate-tech investment.



Kenya's International Membership

- East African Community **(EAC)**
- Common Market for Eastern and Southern Africa

(COMESA)

- African, Caribbean and Pacific **(ACP)**
- African Continental Free Trade Area **(AfCFTA)**
- World Trade Organization **(WTO)**
- Economic Partnership Agreements **(EPAs)**

Leading Companies in Kenya

1. Safaricom (Telecom)
2. Equity Bank Kenya (Banking)
3. KCB Group (Banking)
4. Absa Bank Kenya (Banking)
5. BAT Kenya (Consumer Goods)

What is the tax regime in Kenya?

Corporate income tax rate:

- The standard corporate tax rate is **30%**.
- Local motor vehicle assemblers / plastics recycling (first 5 yrs) **15%**.
- Branches of foreign companies **37.5%**.

Withholding tax (WHT):

Payments	Rate for Resident	Rate for Non Resident
Dividends	5%	15%
Interest	10%/15%/25%	15%/20%/25%
Royalties	5%	20%

Personal income tax rate:

- Progressive rates up to **30%**, applies to both residents and non-residents.

Value Added Tax:

- Standard rate is **16%**.
- Zero-rated: export of goods and taxable services, specified imports.
- Exempt: financial services by banks, most agricultural produce.
- Petroleum products : **8%**.

As a foreigner, do I need a work permit ?

Every non-citizen must obtain a work permit from the Kenyan Immigration Department before working in Kenya. For employees, permit applications are submitted by the employer. Processing has been streamlined under Kenya's ongoing business reform agenda.

Tax treaties

Kenya has concluded tax treaties with the following jurisdictions

COUNTRY	DIVIDENDS	INTEREST	ROYALTIES
Canada	15%/25%	15%	15%
Denmark	15%/20%/25%	20%	20%
France	10%	12%	10%
Germany	15%	15%	15%
India	10%	10%	10%
Iran	5%	10%	10%
Norway	15%/25%	20%	20%
Qatar	5%/10%	10%	10%
South Africa	10%	10%	10%
South Korea	8%/10%	12%	10%
Sweden	15%/25%	15%	20%
United Arab Emirates	5%	10%	10%
United Kingdom	0%/15%	0%/15%	15%
Zambia	D	D	D

Investment incentives offered in Kenya

Tax Incentives

Export Processing Zones (EPZs)

For the first **10 years** from business commencement:

- Payments by residents to EPZ are subject to WHT at non-resident rates.
- Payments by EPZ to non-residents are exempt from tax.
- EPZ is exempt from corporation tax (no commercial activities).
- Corporate tax of **25%** applies for the next **10 years**.

Special Economic Zone (SEZ)

SEZ enterprises benefit from **10%** corporate tax for the first **10 years** and **15%** for the **next 10 years**, whether selling domestically or internationally.



Useful Links / Sources

1. [Central Bank of Kenya](#)
2. [World Bank](#)
3. [IMF World Economic Outlook](#)
4. [Kenya Investment Authority](#)
5. [Kenya National Bureau of Statistics](#)

